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DRAFT



SECTOR AT A GLANCE

Social Security

2023-Skilling, Livelihoods and
Labour Welfare-SAG-09

Skilling, Livelihoods and Labour Welfare Sector in India

Sector at a Glance

Social Security

Skilling, Livelihoods and
Labour Welfare Sector in India

The 'Sector-at-a-Glance' provides an easy-to-read overview and basic understanding of a sector, sub-sector or thematic area. The facts and insights about the sector are supported by relevant data and best practices from credible government and multilateral sources. The document covers the structure, key trends, opportunities and challenges, government initiatives and the way forward for the sector.

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Overview

Social security in India emanates from the Constitution of India. Article 38 of the Constitution of India outlines provisions for securing social justice and promoting the well-being of its people. Moreover, Article 41 emphasises the rights to work, education and public assistance in cases of unemployment, old age, sickness and disability. This serves as the foundation for the development of social security policies and programmes in India.

Evolution of the social security system in India involves both legislative and promotional measures that seek to provide comprehensive protection against poverty, inequality, gender discrimination and social vulnerabilities to its vast population. Social security has evolved over time to address the people's social and economic needs through a mix of statutory legislations, regulations, policies, programmes and initiatives that target various dimensions of social security. Few of the landmark examples are evolution of the Maternity Benefit Act, 1961, which is a welcome move towards providing support to women employees; thereby promoting women participation and contributing to the achievement of gender equality, implementation of the Employees Provident Fund and Miscellaneous Provisions Act, 1952 providing old age pension and accumulation of provident fund.

Evolution of social security in India*

The Employees' State Insurance Act, 1948, provides for certain benefits to employees in case of sickness, maternity and employment injury, and it provides for certain other matters in relation thereto.²

The Maternity Benefit Act, 1961, regulates the employment of women in certain establishments for certain periods before and after childbirth, and it provides for maternity and certain other benefits.⁴

Shramshakti - Report of the National Commission on Self Employed Women and Women in the Informal Sector, 1988, addressed the socioeconomic situation of self-employed and women in informal sector. It acknowledged the essential role of women in the economy and emphasised the need for specific policies, financial assistance and skill-based programmes to improve their livelihoods.

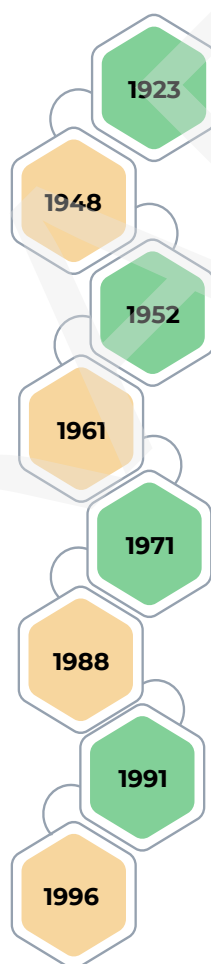
The Building and Other Construction Workers' Welfare Cess Act, 1996, was enacted to provide for the levy and collection of a cess on the cost of construction incurred by employers with a view to augment resources of the building and other construction workers' welfare boards constituted under the Building and Other Construction Workers (Regulation of Employment and Conditions of Service) Act, 1996.⁶

The Employee's Compensation Act, 1923, was initially enacted as the Workmen's Compensation Act, 1923. This act provides for payments by certain classes of employers to their employees as compensation for injury by accident.¹

The Employees' Provident Funds and Miscellaneous Provisions Act, 1952, provides for the institution of provident funds, pension funds and deposit-linked insurance funds for employees in factories and other establishments.³

The Payment of Gratuity Act, 1971, provides for a scheme for the payment of gratuity to employees engaged in factories, mines, oilfields, plantations, ports, railway companies, shops and other establishments and for matters connected therewith or incidental thereto.⁵

The National Commission on Rural Labour, 1991, recommended that the following social security benefits should be provided as a matter of high priority: (a) old age pension, (b) life insurance, (c) maternity benefit, (d) disability benefit (accident compensation) and (e) minimum healthcare and sickness benefit.



*Note: In case of the legislations, brief overview is based on the Preamble of the relevant Act

1. [The Employee's Compensation Act, 1923](#).

2. [The Employees' State Insurance Act, 1948](#).

3. [The Employees' Provident Funds and Miscellaneous Provisions Act, 1952](#)

4. [The Maternity Benefit Act, 1961](#).

5. [The Payment of Gratuity Act, 1971](#)

6. [The Building and Other Construction Workers' Welfare Cess Act, 1996](#).

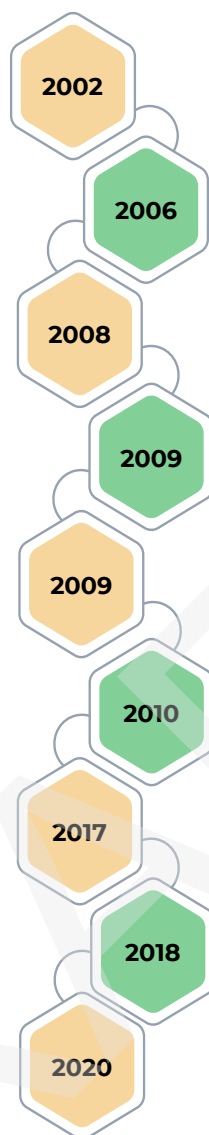
Second National Commission on Labour, 2002, recommended an umbrella legislation to consolidate and amend laws relating to the regulation of employment and welfare of workers in the unorganised sector in India and to provide protection and social security to these workers.

The Unorganised Workers' Social Security Act, 2008, was enacted to provide for the social security and welfare of unorganised workers and for other matters connected therewith or incidental thereto.⁷

The Challenge of Employment in India: An Informal Economy Perspective, 2009, analysed the labour market trends and characteristics and has emphasised the need to adopt the national labour code, effectively enforce conditions of work, ensure social security provisions for contract workers and improve labour administration. Moreover, it suggested measures to strengthen public employment programmes for wage workers, casual workers, etc.

The Maternity Benefit (Amendment) Act, 2017, made the following changes: (a) extended maternity leave from 12 weeks to 26 weeks for the first two deliveries, (b) introduced maternity leave of 12 weeks for women adopting a child below the age of three months and for commissioning mothers and (c) made creche facility mandatory for every establishment employing 50 or more employees.

The Code on Social Security, 2020, has been enacted to amend and consolidate the laws relating to social security with the goal to extend social security to all employees and workers either in the organised or unorganised or any other sectors and for matters connected therewith or incidental thereto.⁸



Report on Social Security for Unorganised Sector, 2006, highlighted the need for a comprehensive social security framework for the unorganised sector. The report further emphasised the need for financial protection, healthcare, life insurance, old age pension and maternity benefits to uplift the socioeconomic conditions of workers in the unorganised sector.

The Employee's Compensation (Amendment) Act, 2009, was enacted to provide for the following changes: (a) replace the word 'workmen' with 'employee', (b) replace the definition of 'workmen' with the definition of 'employee' and (c) insert section 25A in this act to provide the time limit (three months) for disposal of cases relating to compensation.

Employees' State Insurance (Amendment) Act, 2010, was enacted to enhance the social security coverage, streamline the procedure for assessment of dues and constitute Chapter VA – 'scheme for other beneficiaries' (for persons other than the persons insured under this act).

Payment of Gratuity (Amendment) Act, 2018, was enacted to enhance the gratuity ceiling under the Payment of Gratuity Act, 1972, from INR 10lakh to INR 20lakh.

Unorganised and organised sectors

India boasts a workforce of more than 50 crore, spanning both the organised and unorganised sectors.⁹ This diverse workforce comprises people aged 15 years and above, contributing their skills and efforts to the production of goods and services. This vast workforce reveals a significant aspect of India's economic landscape. Approximately 90% of the workers are employed in the unorganised sector,¹⁰ and they range from street sellers to artisans in the diamond and gem polishing industries. Almost 10% of the workers in the organised sector comprise individuals employed by the government, state-owned corporations and large private sector firms. The breadth of India's employment panorama can be understood further by analysing the net addition to the workforce in the year 2019–20. According to the Economic Survey 2021–22, the informal sector accounted for nearly 90% of the new hires in 2019–20 with nearly 98 % of the new entrants to the workforce being engaged in the unorganised sector.¹¹ Therefore, it is important to understand the distinction between the organised and unorganised sectors to highlight the social security needs of the workforce engaged in these sectors.

7. [The Unorganised Workers' Social Security Act, 2008](#)

8. The Code on Social Security 2020

9&10. https://loksabhadocs.nic.in/Refinput/New_Reference_Notes/English/23092022_125055_102120526.pdf

11. [Economic Survey 2021-2022 \(p. 372\)](#)

The Unorganised Workers Social Security Act, 2008, and The Code on Social Security, 2020, define the term 'unorganised sector' to mean any enterprise owned by natural or self-employed individuals and involved in the production, sale or supply of goods or services, where the number of workers employed by the enterprise is less than ten.

Moreover, the Code on Social Security, 2020, defines the term 'organised sector' as any enterprise that is not part of the unorganised sector. It includes any enterprise whose terms of employment are regulated by the Central or State Government legislation.

In addition, majority of the legislations protecting decent work, job security and social protection for organised sector workers do not apply to unorganised sector workers. As a result, these workers are subject to high degree of social uncertainty due to their irregular work status and lack of effective organisational support. Moreover, unorganised sector workers are often not employed in regulated working conditions and receive substantially lower wages and salaries than those in the organised sector.

Major challenges faced by the unorganised sector



Lack of formal employment contracts: Many workers in the unorganised sector lack formal employment contracts.



Inadequate income: Irregular income and low wages lead to difficulties in ensuring savings for emergencies and retirement, leading to a poor standard of living.



Limited collectivisation: As the unorganised sector comprises small enterprises and informal workers, it lacks cohesive structures for collective bargaining. Absence of unified efforts impedes the workers' ability to negotiate fair terms.



Limited access to healthcare: Workers often lack access to quality healthcare, making them susceptible to health-related emergencies.



No pension: Absence of a pension system leaves older workers financially vulnerable in the latter years of their lives.

In India, recent initiatives by the Central and State Governments have been strategically designed to reach all segments of the society, reflecting a commitment to inclusive development. These initiatives aim to address diverse challenges such as poverty, healthcare, education and sustainable infrastructure.

In addition, India's overarching vision to make all-round and all-inclusive development is derived from the agenda for Sustainable Development Goals (SDGs). By integrating the SDGs into national policies, the government has leveraged this global agenda to boost its domestic strategies. The SDGs serve as a guiding force emphasising poverty eradication, quality education, gender equality and sustainable economic growth.

India's commitment to fulfilling the SDGs is evident in policies promoting financial inclusion, social welfare programmes, and advancements in healthcare and education. Initiatives such as the Pradhan Mantri Jan Dhan Yojana (financial inclusion), Swachh Bharat Abhiyan (cleanliness drive) and Ayushman Bharat (healthcare access) exemplify the government's multifaceted approach. By integrating the SDGs into its policy framework, India demonstrates a dedication to not only addressing its internal challenges but also contributing to the global agenda of building a more equitable and sustainable future and ensuring that development reaches every corner of the society.

Social security and SDGs

The SDGs are a series of 17 interrelated objectives adopted by the United Nations (UN) member states in 2015 to address global issues and build a more sustainable future by 2030. As a signatory to these goals, India has made substantial progress towards their attainment by introducing initiatives aimed at achieving multiple SDGs, including eradicating poverty (SDG 1), ensuring people's health and well-being (SDG 3), and promoting decent work and economic growth (SDG 8). NITI Aayog in India has been driving the SDGs' attainment by actively participating in and assessing the implementation of programmes and initiatives undertaken by the Central and State Governments. Adequate social security coverage for all employees, regardless of occupation, is a vital component of accomplishing SDG 8 (Decent Work and Economic Growth) of the 2030 Sustainable Development Goals Agenda, which was endorsed at the UN Summit in September 2015. Social security initiatives in India have been closely linked with the UN SDGs.

Some major initiatives of the Central Government with respect to India's social security landscape in the context of the SDGs are highlighted below:



12. MGNREGA dashboard (18 December 2023)

13. Ministry of Health and Family Welfare, Press Information Bureau (20 October 2023)

14. Ministry of Education, Year End Review 2022, Press Information Bureau (30 December 2022)

15. Ministry of Women and Child Development, Press Information Bureau (27 October 2023)

16. Ministry of Skill Development and Entrepreneurship, Press Information Bureau (30 December 2022)

17. Pradhan Mantri Awas Yojana (Urban), newsletter, Issue 81 (November 2023)

Sub-sectoral trends

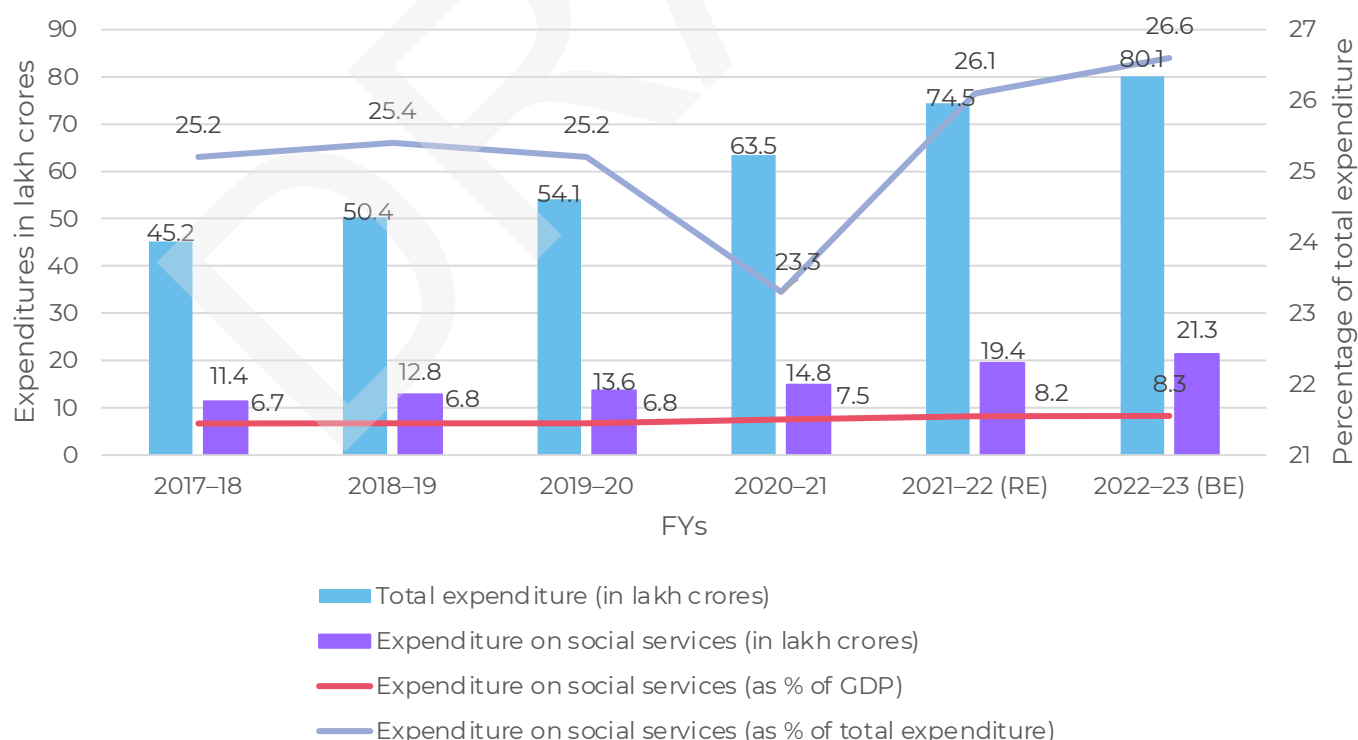
The government's spending on social services has shown a rising trend since FY 2015–16, with a focus on many aspects of the social well-being of the country's citizens. Social services include education; sports; arts and culture; medicine and public health; family welfare; water supply and sanitation; housing and urban development; welfare of scheduled castes, scheduled tribes and other backward classes; labour and labour welfare; social security and welfare; nutrition; relief on account of natural calamities, etc.¹⁸

The COVID-19 pandemic and its aftermath significantly impacted the growth trajectories of both India and the world during 2020–2022. The emphasis was on key aspects of citizens' social well-being such as health, education and social security, and the government stepped in to continue providing support for social infrastructure development.¹⁹

The share of social services expenditure in the total government expenditure was around 25% from FY 2017–18 to FY 2019–20. It increased to 26.6% in FY 2022–23 (BE). According to the Economic Survey of 2022–23, the social services expenditure witnessed an increase of 8.4% in FY 2020–21 compared with FY 2019–20 and another increase of 31.4% in FY 2021–22 compared with FY 2020–21.²⁰ As these were the pandemic years, they required an enhanced outlay, especially in the health and education sectors (see Figure 1).

The Central Government has strengthened the health infrastructure and is prepared to address present and future needs. To ensure the provision of quality health facilities to citizens, the share of government health expenditure in total health expenditure increased from 28.6% in FY 2014 to 40.6% in FY 2019; Moreover, to augment the rural public healthcare system, the number of subcentres, primary health centres and community health centres have increased substantially in the past years, along with a rise in doctors, nurses and other medical personnel. In addition, the share of expenditure on health in the total social services expenditure increased from 21% in FY 2019 to 26% in FY 2023 (budget estimate [BE]).²¹

Figure 1. Expenditure on social services



Note: RE, revised estimate; GDP, gross domestic product.

Source: Chapter 6, Economic Survey 22–23

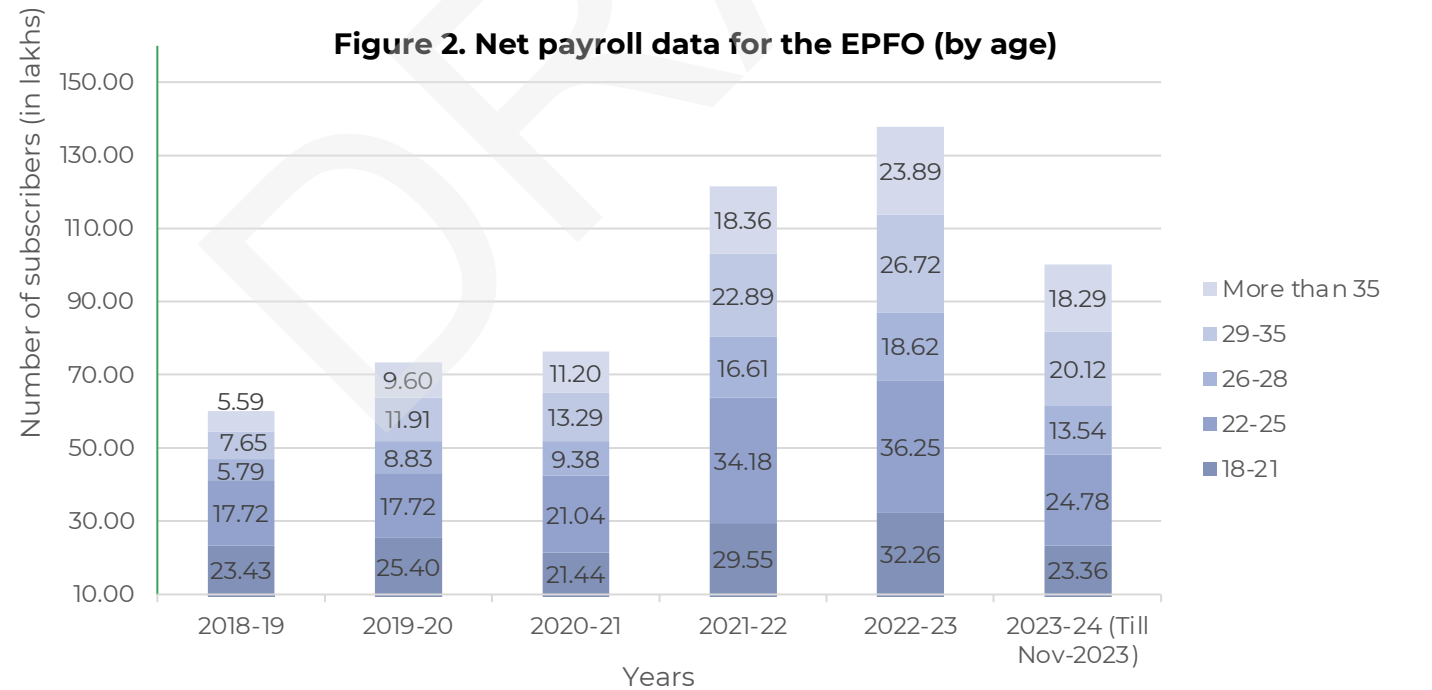
A. Social security for the organised sector: Trends and innovative developments

The Employees’ Provident Fund Organisation (EPFO) and Employees’ State Insurance Corporation (ESIC) are major organisations overseeing social security benefits for the organised sector. An analysis of the member registration trends for the EPFO and ESIC highlights an increased coverage of social security benefits in the organised sector. This significant increase can be attributed to a shift towards technology-enabled platforms, thus streamlining processes for the EPFO and ESIC. With user-friendly online portals, individuals can seamlessly register, check contributions and avail benefits. This transition enhances accessibility and reduces administrative burdens. EPFO’s universal account number (UAN) and ESIC’s online registration contribute to the ease of member engagement. These trends highlight the commitment to efficiency and modernisation, ensuring a more user-centric approach to social security in the organised sector. A detailed analysis of the trends is given below:

1. The Employees’ Provident Funds and Miscellaneous Provisions Act, 1952

The Employees' Provident Fund (EPF) is a mandatory savings scheme under the Employees’ Provident Funds and Miscellaneous Provisions Act, 1952, managed by the EPFO. It covers establishments with 20 or more employees, subject to conditions and exemptions. The wage ceiling under the EPF Act is INR 15,000 per month, with exemption permitted for individuals or voluntary enrolment. The number of members subscribing to this scheme indicates the level of employment in the formal sector. The provisional payroll data of EPFO released on 20 January 2024 (Figure 2) highlights that the cumulative net addition of members during the current FY continues to remain higher than that of the corresponding period in the previous year.²¹

The data further projects that majority of the new enrolments during FY 2022–23 are by those aged below 25 years. This highlights that majority of the members joining the country’s organised sector workforce are youths who are mostly first-time job seekers. Moreover, as per the recent data published by the Press Information Bureau, released on 20 January 2024,²² gender-wise analysis of the EPFO payroll data indicates a growing participation of female employees in the organised sector workforce.



Source: [EPFO Payroll Data, Ministry of Labour and Employment](#)

21. EPFO Payroll Data, Ministry of Labour and Employment

22. Press Information Bureau (20 January 2024)

2. The Employees' State Insurance Act, 1948

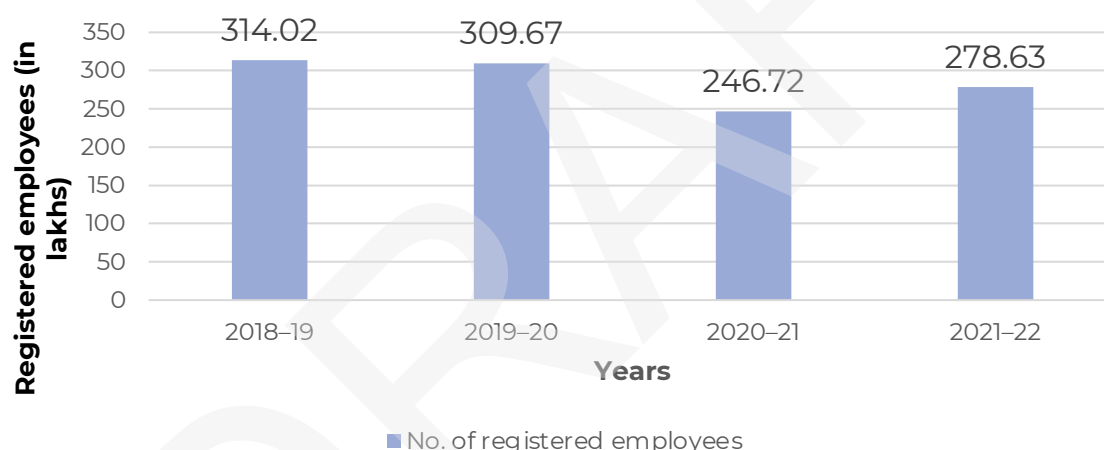
The Employees' State Insurance Act, 1948, is applicable to non-seasonal manufacturing establishments (other than mines subject to the operation of the Mines Act, 1952, or railway running sheds) employing ten or more workers. For health and medical institutions, the threshold limit is 20 or more workers.

The Employees' State Insurance (ESI) Scheme is an integrated social security scheme designed to provide socioeconomic protection to workers in the organised sector and their dependents in contingencies such as sickness, maternity, and death or disablement due to employment injury or occupational hazard. The wage ceiling is INR 21,000 per month. Subscribers are termed as insured persons (IP), and a new IP number can arise due to a change in employment. Employees may cease to pay their contributions if their wage exceeds the statutory ceiling of INR 21,000 per month or owing to resignation, death, retirement or dismissal. The number of subscribers of this scheme also indicates the level of employment in the formal sector.

The number of employees registered under ESI during the FY 2020-21 showcased a decline due to pandemic. However, there has been a pickup in the registrations during the FY 2021-22 to 278.63 lakhs as compared with the figure of 246.72 lakh in the preceding year, which is expected to rise further and reach the pre-pandemic levels in the upcoming years. (Figure 3).

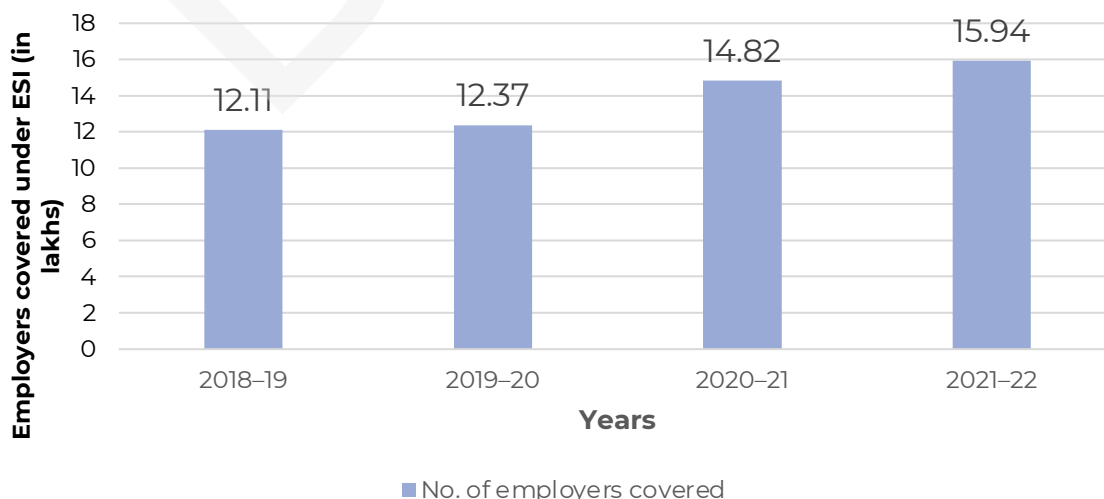
According to the annual data published on the ESIC website, 1,11,958 new employers were brought under ESIC coverage in FY 2021-22. As a result, the total number of employers increased to 15,94,083 in FY 2021-22 from 14,82,125 in FY 2020-21. Further, rise in employers' registrations over the past years indicate that workers excluded from the ESIC coverage may now be included under this important health benefit scheme (Figure 4).

Figure 3. Employees registered under ESI (in lakhs)



Source: [ESIC - Annual report for the last four years](#)

Figure 4. Employers covered under ESI (in lakhs)



Source: [ESIC - Annual report for the last four years](#)

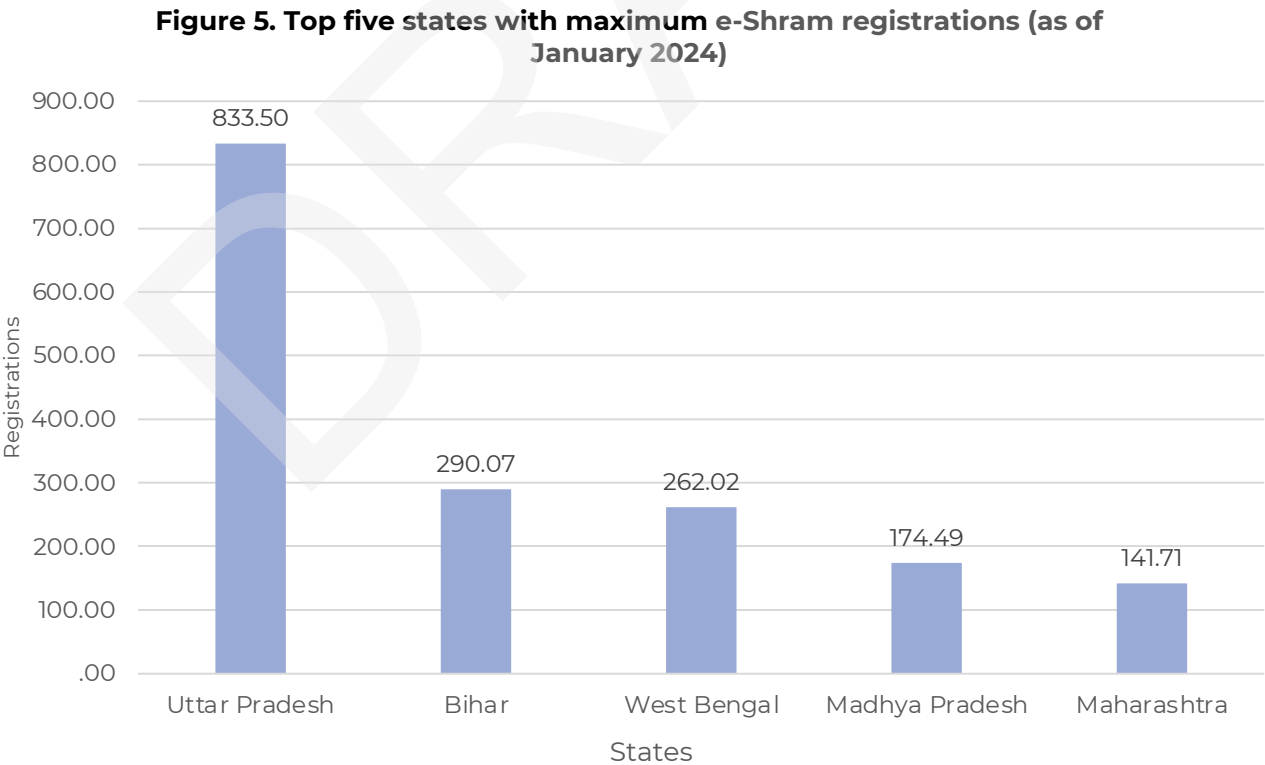
B. Social security for the unorganised sector: Trends and innovative developments

1. e-Shram portal

The unorganised sector often faces stark disparity in accessing social security benefits. With the dominance of informal employment, workers lack adequate social security protection. Such limited access to social security in the unorganised sector poses a critical challenge for an inclusive social welfare coverage. A holistic strategy, combining legislative reforms, technological advancements and community engagement, is essential to bridge the access disparity gap and provide meaningful social security to the unorganised sector, thus promoting economic stability and social well-being.

Considering the primary objective of inclusive social welfare in India, the Central Government introduced the e-Shram portal in August 2021. The objective of e-Shram is to provide a comprehensive database for unorganised workers and an inclusive platform enabling them to register and avail social security benefits. It facilitates the issuance of a unique 12-digit UAN to each worker, enhancing portability and accessibility to schemes such as health insurance and pension. The e-Shram portal marks a crucial step in extending social security to the unorganised sector, fostering financial stability and improving the overall well-being of vulnerable workers.

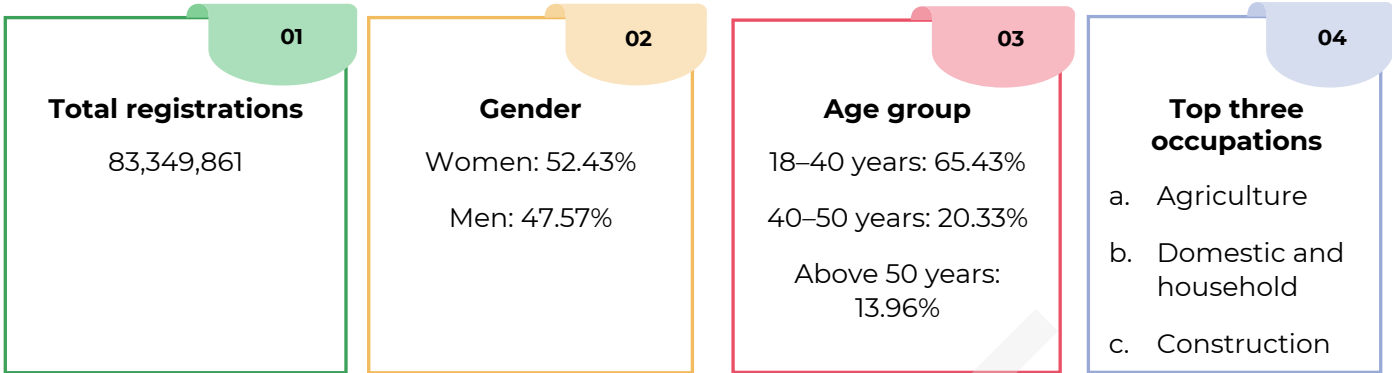
The registration trends of unorganised workers on the e-Shram portal reflects a positive shift towards inclusive social security. The rapid increase in registrations from unorganised sectors in states with high-level worker dependency, including Uttar Pradesh and Bihar, demonstrates the portal's success in expanding social security coverage to populations that have traditionally been underrepresented (Figures 5 and 6).



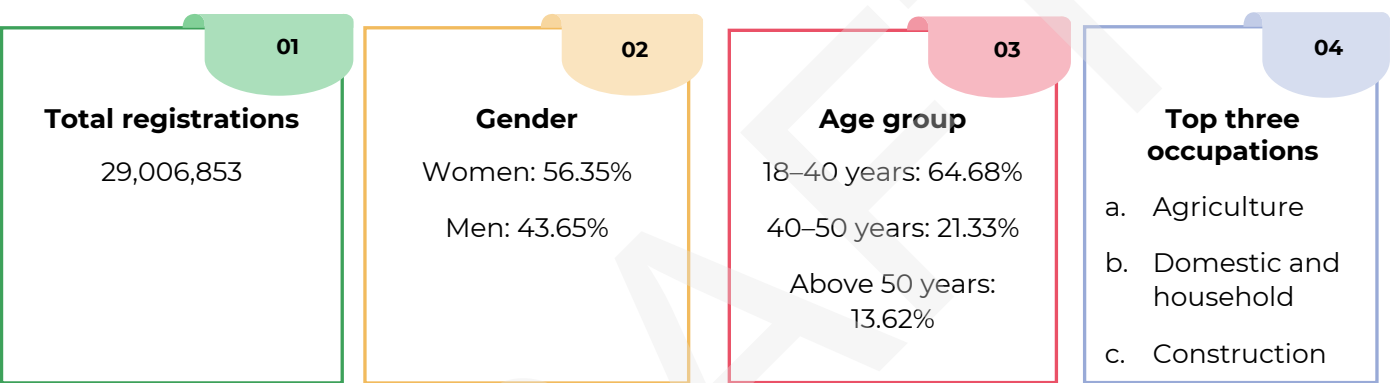
Source: [e-Shram dashboard](#)

Figure 6. Registration trends in the top three states with the highest registrations by ‘unorganised workers’ on the e-Shram portal (as of January 2024)

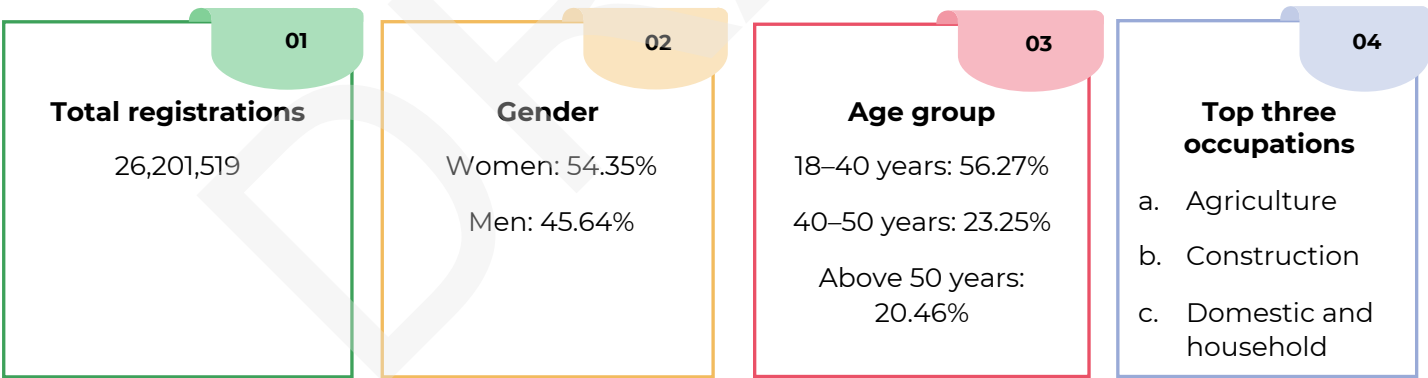
1. Uttar Pradesh



2. Bihar



3. West Bengal



Data source: [e-Shram dashboard](#)

Moreover, the e-Shram portal plays a pivotal role in providing access to crucial government schemes for unorganised workers. Some key schemes include the Pradhan Mantri Shram Yogi Maandhan and Pradhan Mantri Kisan Maandhan Yojana.

In essence, e-Shram acts as the centralised platform for workers in unorganised sectors by creating a national database of unorganised workers and is a pivotal step towards improving the access of the social security and welfare schemes to such workers effortlessly. This digital initiative not only streamlines the registration process but also empowers individuals in diverse occupational categories to secure their future through the inclusive reach of social security measures.

2. Pradhan Mantri Shram Yogi Maandhan (PM-SYM)

The PM-SYM is a social security scheme in India targeting unorganised sector workers. This scheme was launched to provide financial security to those without a formal pension system, and it allows workers aged 18–40 years to voluntarily enrol (Figure 7 and 8). Upon contributing a nominal monthly amount, beneficiaries become eligible for a pension of INR 3,000 per month after reaching the age of 60 years. The scheme aims to address the vulnerability of workers occupied as, for example, rickshaw pullers, street vendors and domestic help. PM-SYM encourages financial inclusion and ensures a dignified life post-retirement for those workers who often lack access to formal pension plans. This scheme thus, aims towards contributing to the government's broader vision of inclusive social security coverage.

Figure 7. Gender-wise registrations (2023–24)

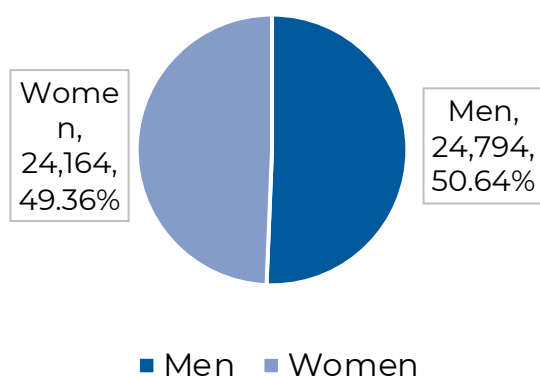
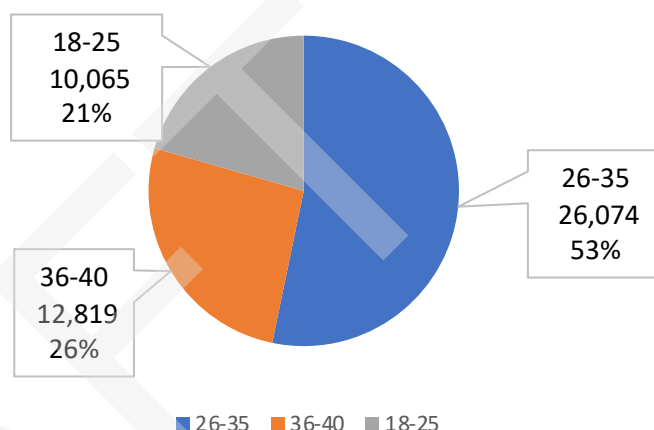


Figure 8. Age-group registrations (2023-24)



Source: [Maandhan dashboard](#)

3. Pradhan Mantri Kisan Maandhan Yojana (PM-KMY)

PM-KMY is a pension scheme designed for small and marginal farmers aged 18–40 years who cultivate land of up to 2 hectares. Farmers can register under this scheme by contributing a nominal monthly amount. Upon reaching the age of 60 years, they will receive a fixed monthly pension. The e-Shram portal streamlines registration, allowing eligible farmers to enrol seamlessly (Figure 9 and 10). This initiative addresses the financial vulnerabilities of farmers by providing them a structured pension system, thus promoting economic well-being and social security within the agricultural community. The integration of e-Shram facilitates an accessible and efficient registration process, enhancing the scheme's outreach to eligible beneficiaries.

Figure 9. Gender-wise registrations (2023–24)

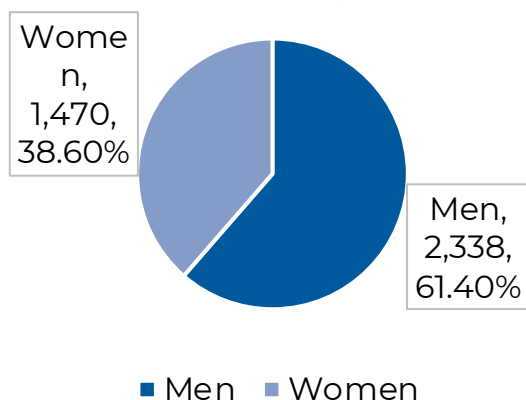
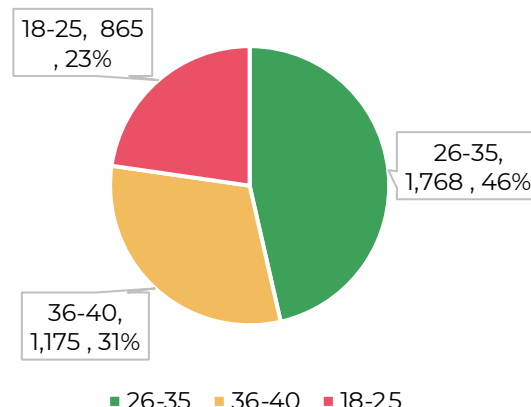


Figure 10. Registrations by age group (2023–24)



Source: [Maandhan dashboard](#)

C. Code on Social Security, 2020

Introduction of the Labour Codes represents a comprehensive overhaul and streamlining of India's existing labour laws pertaining to wages, social security, occupational health and safety, and industrial relations.

The Code on Social Security, 2020, was notified on 29 September 2020 with the objective to amend and consolidate the laws relating to social security. It aims to extend social security to all employees and workers, irrespective of whether they belong to the organised or the unorganised sector.

The Code on Social Security, 2020, has subsumed the following existing laws:

- The Employee's Compensation Act, 1923
- The Employees' State Insurance, 1948
- The Employees' Provident Funds and Miscellaneous Provisions Act, 1952
- The Employment Exchanges (Compulsory Notification of Vacancies) Act, 1959
- The Maternity Benefits Act, 1961
- The Payment of Gratuity Act, 1972
- The Cine-Workers Welfare Fund Act, 1981
- The Building and Other Construction Workers' Welfare Cess Act, 1996
- The Unorganised Workers' Social Security Act, 2008

Key features of the Code on Social Security, 2020

Universalisation of social security

The Code on Social Security, 2020, aims to extend social security coverage to all workers, including those in the informal sector and gig economy.

Social security fund

The Code on Social Security, 2020, mandates setting up of a Social Security Fund at both the central and state levels. Section 141(1) of the Code on Social Security, 2020, describes that the Central Government will establish a Social Security Fund for the social security and welfare of the unorganised, gig and platform workers. The major source of the fund will be the amount collected by way of composition of offences under the Code on Social Security, 2020, and any other sources as prescribed.

Gig workers and platform workers

The Code on Social Security, 2020, recognises gig and platform workers and provides for social security benefits for this category of workers.

Central database

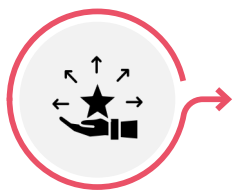
The Code on Social Security, 2020, envisions the establishment of a central database to maintain records of workers, their employment and their social security contributions.

Employee compensation

The Code on Social Security, 2020, introduces a framework to provide compensation to workers and their dependents in the event of injury, disability or death arising out of employment.

As 'labour' is part of the Concurrent List of the Constitution, under the Labour Codes, both the Central and State Governments are required to frame the rules. Out of the 36 states and union territories (UTs) in India, most states and UTs have already released draft rules on the Code on Social Security, 2020, while some states are yet to release them.

Opportunities and Challenges



Opportunities

- The concept of a single labour registration for establishments under the Code on Social Security, 2020, can help streamline administrative processes for employers and reduce compliance-related complexities.
- The e-Shram portal will facilitate easy access of the available government schemes and policies to unorganised sector workers.
- Extended social security coverage to the workers engaged in non-traditional employment, including gig workers and platform workers ensures that workers are not left out of the social security net.
- The government may provide incentives for businesses in the unorganised sector to formalise their operations related to employment, making it easier to integrate their workers into social security programmes.
- Certain innovative skill development programmes such as PM Vishwakarma Yojana which provides recognition, skill upgrading training, incentives & credit support to the artisans & craftspeople working with their hands & tools, can enhance employability, leading to better income earning capacity for workers.



Challenges

- Developing and balancing social security framework for diverse population in urban and rural areas requires coordination between multiple stakeholders, including government agencies, employers and workers' representatives. Accordingly, regular social dialogues on core dimensions of social security amongst the relevant stakeholders may help to address this issue.
- Limited reach of social security benefits to the informal sector workers in the rural/remote areas, may be a significant challenge towards inclusive social welfare coverage. Accordingly, there is a need to rigorously analyse the administrative data (including registrations on e-Shram), for improving the operational efficiency and outreach of social security benefits to the informal sector.
- Lack of awareness among workers regarding the available benefits may be a significant challenge. Accordingly, robust awareness campaigns and educational initiatives by the appropriate authorities may help in ensuring that workers are aware of their rights and benefits under the new social security framework.
- Social security schemes may need regular revisions to keep up with increasing living expenses and ensure adequate support for beneficiaries. Regular adjustments to the contributions rates may help in maintaining balance between income and pay-outs.
- A sensitised, strengthened and transparent social security delivery system is needed to reach the economically weaker sections of the society. Introducing mobile service centres and leveraging technology through mobile applications at district level may help in strengthening the social security delivery system and better outreach.

Cross-cutting themes

Providing universal coverage

The aim is to address inequalities, reduce poverty and enhance the overall well-being of the population by providing comprehensive coverage and support through various social security initiatives.



Adapting to transformations in the world of work

Social security laws in India may require an innovative approach by extending the existing social security protection to accommodate gig workers, and workers engaged in non-traditional employment.



Enhancing benefits through improved access

Ensuring easy access and entry points, simplified processes and widespread awareness enhances accessibility, which promotes inclusive participation. This approach fosters effective delivery of social security benefits, addresses the unique challenges faced by vulnerable workers in the unorganised sector, and thus contributes to overall good governance.



Providing a rights-based and inclusive approach

Ensure that each individual has access to essential social protections, regardless of their socioeconomic status. This inclusive approach aims to recognise social security as a fundamental right and implement policies with respect to healthcare, education, housing and income support for all individuals.



Government interventions

Central and State Governments play pivotal roles in addressing the social security needs of the organised and unorganised sectors in India. Various interventions have been introduced to address the vulnerabilities of workers in informal employment. These central and state-specific schemes aim to provide financial stability to the unorganised sector through pensions, insurance and other social benefits. These interventions emphasise inclusive development, offering a safety net to labourers, artisans and other unorganised workers. The collaborative efforts between the central and state authorities highlight the commitment towards mitigating socioeconomic disparities and fostering the overall well-being of those traditionally excluded from formal social security structures.

Major central-level schemes

Ministry	Name of the scheme	Beneficiaries and benefits
Ministry of Finance	Pradhan Mantri Suraksha Bima Yojana (PMSBY)	PMSBY is a one-year accidental insurance scheme that is renewable annually, offering coverage for death or disability due to an accident. Individuals aged 18–70 years having a savings bank or post office account are entitled to enrol under the PMSBY.
	Pradhan Mantri Jeevan Jyoti Bima Yojana	This scheme provides life insurance cover for death due to any reason. It provides a one-year cover that is renewable annually. The applicant's age must be between 18 and 50 years. The applicant must hold a bank or post office account.
Ministry of Labour and Employment	PM-SYM	This is a voluntary and contributory pension scheme, under which the subscriber would receive the following benefits: (a) Minimum assured pension: Each subscriber under the PM-SYM will receive a minimum assured pension of INR 3,000 per month after attaining the age of 60 years. (b) Family pension: During the receipt of pension, if the subscriber dies, the spouse of the beneficiary is entitled to receive 50% of the pension received by the beneficiary as family pension. Family pension is applicable only to spouses. Unorganised workers who are engaged as home-based workers, street vendors, mid-day meal workers, head loaders, brick kiln workers, cobblers, ragpickers, domestic workers, washer folk, rickshaw pullers, landless labourers, own-account workers, agricultural workers, construction workers, beedi workers, handloom workers, leather workers, audio-visual workers and other similar occupations; have monthly income of INR 15,000 per month or less; and belong to the entry age group of 18–40 years are eligible for this scheme. However, they should not be covered under the New Pension Scheme (NPS), ESIC scheme or EPFO. They should also not be an income taxpayer.
	NPS for traders and self-employed persons	This is a voluntary and co-contributory pension scheme for the welfare of traders, including retail shopkeepers. Subscribers, after attaining the age of 60 years, are eligible for a minimum assured pension of INR 3,000 per month. Traders who are in the age group of 18–40 years; have an annual turnover not exceeding INR 1.5 crore; are not members of the EPFO, ESIC or PM-SYM; and are income taxpayers can join the NPS.
	PM Vishwakarma Yojana	This scheme provides holistic and end-to-end support to artisans and craftspeople through access to collateral free credit, skill training, modern tools, incentive for digital transactions and market linkage support. The scheme provides for training stipend of INR 500 per day, toll-kit incentive of INR 15,000, credit support and incentive for digital transaction to artisans and craftsman working with hands and tools.

Ministry	Name of the scheme	Beneficiaries and benefits
Ministry of Women and Child Development	Pradhan Mantri Matru Vandana Yojana (PM-MVY)	PM-MVY is a flagship scheme designed to provide partial compensation for the wage loss in terms of cash incentives to women, so that the women can take adequate rest before and after delivery of the first living child. PM-MVY provides a cash incentive of INR 5000/- for the first live birth in two instalments and incentive of INR 6000/- for the birth of second child, if it is a girl.
	National Creche Scheme for the Children Of Working Mothers	Earlier name as Rajiv Gandhi National Creche Scheme, this scheme aims to provide day-care facilities for children from 6 month to 6 years of working women in rural and urban areas who are employed for a minimum period of 15 days in a month, or six months in a year.
Ministry of Health and Family Welfare	Ayushman Bharat-Pradhan Mantri Jan Arogya Yojana (PM-JAY)	PM-JAY is the world's largest health insurance/ assurance scheme for secondary and tertiary care hospitalization to over 12 crores poor and vulnerable families that form the bottom 40% of the Indian population. It provides for a coverage of INR 5 lakhs per family per year with cross specialty procedure coverage and has no cap on family size or the age of members who wish to avail this scheme, while covering pre-existing diseases from day one.
Ministry of Housing and Urban Affairs	PM Street Vendor's AtmaNirbhar Nidhi (PM SVANidhi)	PM SVANidhi aims towards formalising street vendors and to open up new opportunities for this sector to move up the economic ladder. The scheme provides for financial assistance up to ₹10,000 to street vendors to help them restart and expand their businesses along-with low-interest rate of 7% without the requirement of any collateral.
Ministry of Social Justice and Empowerment	Loan-based schemes for Safai Karamchari – Sanitary Marts Scheme	This is a contributory loan scheme by the Ministry of Social Justice and Empowerment for individual beneficiaries and self-help groups of liberated safai karamcharis, manual scavengers and their dependents aged 18 years and above for setting up sanitary marts (SMs). Benefits: Loan of up to 90% of the total cost of starting an SM, with a maximum sanction of INR 15lakh. Of the total cost of an SM, 10% will be brought in by the beneficiaries. Interest rate: Interest payable by the beneficiaries will not exceed 4% (1% per annum rebate for women beneficiaries and 0.50% rebate for timely repayment).

State Government initiatives

Major state-level schemes

State	Name of the scheme or act	Benefits and beneficiaries
Maharashtra	Mahatma Jyotirao Phule Jan Arogya Yojana	Benefits The scheme provides end-to-end cashless services for identified diseases through a network of service providers from the government and private sectors. Eligibility Category A: Families holding the Yellow ration card, Antyodaya Anna Yojana ration card, Annapurna ration card or Orange ration card (annual income up to INR1lakh) issued by the Civil Supplies Department, Government of Maharashtra, for 36 districts of Maharashtra Category B: White ration cardholder farmer families from 14 agriculturally distressed districts of Maharashtra (Aurangabad, Jalna, Beed, Parbhani, Hingoli, Latur, Nanded, Osmanabad, Amravati, Akola, Buldhana, Washim, Yavatmal and Wardha) Category C: Children from government orphanages, students of government ashram shalas, women inmates of government mahila ashrams, senior citizens of government old-age homes, journalists and their dependent family members approved by the Directorate General of Information and Public Relations, and construction workers and their families having live registration with the Maharashtra Building and Other Construction Worker Welfare Board
	Sanjay Gandhi Niradhar Yojana	Benefits - Financial assistance of INR 600 per month is provided if there is one beneficiary in the eligible family. - Financial assistance of INR 900 per month is provided if there is more than one beneficiary in the eligible family. Eligibility - The applicant should be a citizen of India. - The applicant should be a domicile certificate holder or permanent resident of the state of Maharashtra. - Name of the applicant should be in the list of Below Poverty Line families, or the family's annual income should be less than or equal to INR21,000. - The applicants should be one of the following: (a) destitute men and women aged below 65 years; (b) orphan children; (c) persons with disability (PwDs) of any category; (d) men and women who are unable to sustain themselves due to diseases such as tuberculosis, cancer, AIDS and leprosy; (e) destitute widows (including widows of farmers who committed suicide); (f) women in the divorce process or divorced but not getting alimony; (g) women who have been tortured and released from prostitution; (h) transgenders; (i) devadasis; (j) unmarried women above 35 years of age; (k) wives of prisoners serving sentences in jail; and (l) those suffering from sickle cell disease.
	Maharashtra Mathadi Hamal and Other Manual Workers (Regulation of Employment and Welfare) Act, 1969	This act regulates the employment and welfare of mathadi workers in the state. The act establishes mathadi welfare boards across the state, which are responsible for implementing the provisions of the act, registering workers, ensuring social security, developing skills and overseeing the workers' welfare. Employers contribute to this fund, and their contributions are used for the welfare of mathadi workers.
Haryana	Maternity Benefit Scheme for Haryana Building and Other Construction Workers	Benefits Under this scheme, financial assistance of INR 36,000 (i.e. INR 30,000 for motherhood and INR 6,000 for nutritious food) is given to registered women construction workers after the birth of their child. Eligibility - The woman worker should be registered with the Haryana Building and Other Construction Workers Welfare Board (HBOCWWB). - The registered woman worker should have a minimum regular membership of one year. - The registered woman worker is not eligible for maternity benefits if the husband has availed paternity benefits from any other department, board or corporation.
	Paternity Benefit Scheme for Haryana Building and Other Construction Workers	Benefits - Under this scheme, financial assistance of INR 21,000 (i.e. INR 15,000 for proper care of the newborn baby and INR 6,000 for nutritious food for the wife) is given to a registered male construction worker whose wife has delivered a baby. - The paternity benefit is given to the male registered worker for up to two children, but it is expandable up to the birth of three daughters, irrespective of the order of their birth. Eligibility - The applicant should be a male construction worker. - The male worker should be registered with the HBOCWWB. - The registered worker should have a minimum regular membership of one year. - Only the registered worker whose wife has delivered a baby is eligible to avail the benefits under the scheme. - The wife of the registered worker should not have claimed maternity benefits from any other employer.

Haryana	Disability Pension for Haryana Building and Other Construction Worker	Benefits A pension of INR 3,000 per month is given to a worker in case of disability due to any infectious disease or accident at the workplace. Eligibility - The worker should be registered with the HBOCWVB. - The registered worker must have a minimum regular membership of three years. - A registered worker who has become disabled due to any infectious disease or accident at the workplace during the course of employment is eligible to apply under the scheme. - The percentage of permanent disability should be 70–100% - The worker must not be taking disability pension from any other Haryana Government department, board or corporation.
	Maternity Benefit Scheme for Haryana Building and Other Construction Worker	Benefits - Financial assistance of INR 36,000 (i.e. INR 30,000 for motherhood and INR 6000 for nutritious food) will be given to registered women construction workers after the birth of their child. - It is payable for up to two children and is expandable up to the birth of three daughters of a registered worker. Eligibility - The applicant should be a permanent resident of Haryana. - The applicant should be a woman. - The woman worker must be employed in building and other construction works. - The woman worker should be registered with the HBOCWVB. - The applicant's membership must be active at the time of application.
Chandigarh	Pension for Disabled Person or Differently Abled People	Benefits - Pension of INR 1,000 per month is payable to each person having 40–70% of disability. - INR 2,000 per month is payable to persons having more than 70% of disability. Eligibility - An individual must have disability to the extent of 40% or above to avail the benefit of this scheme. - The individual must be a resident of UT Chandigarh for more than three years. - Family income of the applicant should not exceed INR 1.5lakh annually.
	Petrol Subsidy for PwD	Benefits - This scheme provides benefits in the form of subsidy on petrol and diesel for PwDs. - Under this scheme, 50% subsidy on actual expenditure on the purchase of petrol or diesel is provided, categorised based on vehicle engines: 2 hp and below: 15 litre per month 2 hp and above: more than 15 litre per month - This scheme will reduce some financial burden of PwDs and their families. Eligibility - The PwDs should own a motorised vehicle. - PwDs with an income up to INR 1.5 lakh per annum from all sources are eligible for the subsidy. - PwDs who are already receiving conveyance allowance from any voluntary or government source will not be eligible for grant of the subsidy on purchase of petrol or diesel.
Delhi	Disability Pension Scheme	Benefits Financial allowance of INR 2,500 per month is provided to persons with special needs. Eligibility - Age of differently abled persons should not be more than 60 years (0–60 years). - Their family income should not be more than INR 75,000 per annum from all sources. - The applicant must be a resident of the National Capital Territory of Delhi for at least five years preceding the date of submission of application. - Disability of the applicant should not be less than 40%. - The applicant should have a 'single-operated' account in any bank or post office for receiving the payment through the electronic clearing system.
	Delhi Family Benefit Scheme	Benefits One-time assistance of INR 20,000 is remitted to the bank account of the beneficiary as per their Aadhaar or account number Eligibility - Age of the deceased should be 18–60 years; i.e. death of the 'bread earner' should have occurred while he or she was aged 18–60 years. - The applicant should have been a resident of Delhi for more than five years before the date of application. - Family income of the applicant should not be more than INR 1lakh per annum. - The applicant should have an Aadhaar number. - The applicant should have a single operated account in any bank in the National Capital Territory of Delhi for receiving payment through the Public Financial Management System.

Delhi

Old Age Assistance

Benefits

- Candidates aged 60–69 years are eligible for financial assistance of INR 2,000 per month.
- The government also gives scheduled castes, scheduled tribes and minority group members an extra INR 500 month.
- INR 2,500 per month will be given to people aged over 70 years.

Eligibility

- The applicant must be aged 60 years or older.
- They must have resided in Delhi for a minimum of five years before the date of application.
- The applicant's annual family income from all sources, such as rent, interest or dividends on savings and investments, earnings from farming and property sale proceeds, should be less than INR 1 lakh.
- The applicant must have a single-operated account in any bank within the National Capital Territory of Delhi for receiving payment through the Public Financial Management System.
- The applicant must not be receiving any pension or financial assistance from the Central Government, State Government, other governmental local bodies or any other source for this purpose.

Rajasthan

Assistance Scheme for Construction Worker in Case of General or Accidental Death or Injury

Benefits

- In case of normal death or accident (death or injury) of the beneficiary construction worker, the following assistance amount will be provided:
 - INR 5 lakh : death due to an accident
 - INR 3 lakh : permanent total disability due to an accident
 - INR 1 lakh : partial permanent disability due to an accident
 - Up to INR 20,000: serious injury in an accident
 - Up to INR 5,000: minor injuries in an accident
 - INR 75,000: normal death of a construction worker

Eligibility

- The applicant should be a resident of Rajasthan.
- Construction workers aged 18–60 years are eligible for this scheme.
- The applicant should be registered as a construction worker under the labour laws.

Indira Gandhi Shehri Credit Card Yojana

Benefits

- This scheme provides interest-free loan facility up to INR 50,000.
- This scheme will pave the way for the economy's development and promotion by helping 5 lakh beneficiaries working in the informal business sector of Rajasthan.

Eligibility

- The applicant must be a permanent resident of Rajasthan.
- The applicant's age should be 18–40 years.
- Monthly income of the applicant should be INR 15,000 or less.
- Monthly income of the applicant's family should be INR 50,000 or less.
- All small traders who have been provided a certificate or identity card by the urban body are also eligible for this scheme.

Chief Minister Ekal Nari Samman Pension Yojana

Benefits

- This scheme provides women pension per month based on their age:
 - 18 to 55 years: INR 500
 - 55 to 60 years: INR 750
 - 60 to 75 years: INR 1,000
 - Above 75 years: INR 1,500

Eligibility

- The applicant should be aged 18 years or above.
- The applicant should be a native of Rajasthan.
- The applicant should be a widow, abandoned or divorced woman who does not have any source of regular income for her own subsistence.
- The applicant's annual income from all sources should be less than INR 48,000.

Way forward



Leveraging technology potential by developing digital platforms/single integrated portals for accessing all social security schemes in India. The said digital platforms may lead to streamline access, improves efficiency and may facilitate data-driven decisions thereby enhancing the overall effectiveness of social security programs in India



Regular adjustments or revisions in the payouts for financial assistance schemes such as old age assistance, disability pension may help in supporting the beneficiaries to manage rising living costs thereby facilitating better social security to the unorganised sector workers



Regular adjustments on the minimum applicability threshold of wages may help in securing greater social security benefits to the organised sector workforce. Increasing the wage ceiling limits under the Employees' Provident Fund and Miscellaneous Provisions Act, 1952 and the Employees' State Insurance Act, 1948 was revised in the year 2017 may facilitate the objective of providing better social security benefits to the workforce.



Establishing a community-based insurance pool, jointly funded by the Government and employers which in turn may offer a safety buffer against unforeseen events like the Covid-19 pandemic. For instance, State Government of Kerala has implemented the Awaaz Health Insurance Scheme to address the healthcare needs of interstate migrant workers. Similar initiatives may be undertaken in other state jurisdictions to secure interests of the larger workforce.



Developing partnerships between State Governments and social enterprises at the district or block level focusing on providing access to social security schemes may help to narrow down the gap between Government welfare initiatives and the scheme entitled beneficiaries. The probable challenges faced by the beneficiaries such as lack of awareness, difficulty in registration, difficulty in understanding the benefits may get depleted with such effective collaboration.



Campaigns conducted at the state level can educate unorganised workers about their rights and the benefits available to them, thus empowering them to claim their social security entitlements.

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